

Test Yourself
Microeconomics
Economic Systems

Section A

Duration of each question is **40 mins**

1. Assess whether all market economies should become mixed economies (12)
q2b/22/F/M/23
2. With the help of examples, explain the difference between free goods and public goods **and** consider the view that public goods can never be provided in a market economy. (8)
q3a/22/O/N/23
3. The provision of merit and demerit goods differs from the provision of other private goods. Assess the view that the consequences of imperfect information are more serious in a market economy than in a mixed economy. (12) **q3b/22/O/N/23**
4. Assess whether a planned economic system should always switch to a mixed economy. (12) **q2b/21/M/J/24**
5. Use a production possibility curve (PPC) diagram to explain how a government in a mixed economy might allocate more resources to consumption and fewer resources to investment **and** consider a limitation of this approach to resource allocation. (8)
q3a/23/M/J/24
6. Assess whether consumers always benefit when the government of a mixed economy reduces the role of the market mechanism in allocating resources. (12) **q3b/21/O/N/24**
7. Assess whether a market economy is always the best economic system to effectively answer the three basic questions of resource allocation. (12) **q3b/22/O/N/24**

8. Assess whether the free market should be used to provide **all** types of goods in an economy. (12) **q2b/specimen23**
9. Assess whether the allocation of resources in a market economy is always beneficial. (12) **q2b/22/F/M/25**

Question	Answer	Marks
1	Assess whether all market economies should become mixed economies. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis NO: Explanations of why market economies should remain as they are e.g., because there is no (or minimal) government intervention, decisions are taken on the basis of demand and supply, competition is encouraged and so production is more efficient, and consumers and producers act on their own self-interest. YES: Explanations of why market economies should become mixed economies e.g., because in a market economy there is non-provision of public goods, the under-consumption of merit goods, the over-consumption of demerit goods and the existence of markets where prices are too low, too high, or too unstable. A one-sided response can only gain a maximum of Level 2. AO3 Evaluation Evaluation of whether all market economies should become mixed economies leading to a justified conclusion. Points to consider may include whether governments should provide public goods, merit goods, reduce the provision of demerit goods, intervene in the price mechanism etc. A one-sided response cannot gain any marks for evaluation. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
2	With the help of examples, explain the difference between free goods and public goods <u>and</u> consider the view that public goods can never be provided in a market economy. Follow the point-based marking guidance at the top of this mark scheme and award: • up to 3 marks for AO1 Knowledge and understanding. • up to 3 marks for AO2 Analysis • up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) Free goods are not scarce and have zero opportunity cost/no prices as no factors of production are required to produce them (1) Public goods have two main characteristics of non-excludability and non-rivalry with a brief explanation of both terms (1) Provide accurate examples of both e.g., fresh air and street lighting respectively (1) AO2 Analysis (max 3 marks) Explanation of why each of the two characteristics of public goods lead to the free rider problem (1 + 1) and why this makes it impossible/unrealistic to charge a price for them so the market economy would not supply them and therefore they must be provided by the government (1) AO3 Evaluation (max 2 marks) • Consideration of the view that pure public goods can never be provided in a market economy unless they are directly funded by the government (1) • Or could be considered to be quasi or semi-public goods in which case a price could be charged, and they could be provided by a market economy (1) • Reserve one mark for a justified conclusion (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
3	The provision of merit and demerit goods differs from the provision of other private goods. Assess the view that the consequences of imperfect information are more serious in a market economy than in a mixed economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content: responses may include: AO1 Knowledge and understanding and AO2 Analysis • An analysis of how private goods (which include merit and demerit goods) are allocated within an economy through the demand and supply mechanism. • An explanation of the existence of imperfect information with respect to merit and demerit goods and the associated problems of under or overconsumption. • An explanation of how this is likely to lead different methods of allocation for both merit and demerit goods than for other private goods, (how other private goods are allocated and how this differs from the provision of merit and demerit goods and any other problems that may be associated with their allocation.) • Analysis should consider the consequences of imperfect information in both a market and a mixed economy for the provision of merit and demerit goods compared to other private goods. • Answers which do not compare the provision of merit/demerit goods in both a market economy and a mixed economy cannot gain more than L2. AO3 Evaluation Points to consider include. • Merit goods and demerit goods need government intervention because of the issues of under and over consumption due to imperfect information, so the market economy fails to operate efficiently. • Other types of private good can be efficiently provided by the market economy without government intervention but the process of allocation may mean e.g., low-income groups do not have the same access to certain goods. • Leading to a justified conclusion answering the question of whether the consequences of imperfect information are more serious in a market economy than a in mixed economy. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
4	Assess whether a planned economic system should always switch to a mixed economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis - Analysis of both the potential advantages and disadvantages of a planned economic system including the emphasis on welfare and provision of public and merit goods. However, the lack of competition may mean a lack of efficient allocation of goods etc. - Analysis of both the potential advantages and disadvantages of a mixed economy including the fact that it possibly contains the best features of both a planned and a market economy, but this depends on how mixed it actually is. This may also include an assessment of the ease of the switch itself. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation - For an evaluation of both the advantages and disadvantages of planned and mixed economies leading to: - A valid conclusion. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
5	Use a production possibility curve (PPC) diagram to explain how a government in a mixed economy might allocate more resources to consumption and less resources to investment <u>and</u> consider a limitation of this approach to resource allocation. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) - For a fully accurate diagram that is clearly labeled as consumer goods and capital goods with the curve touching both axes. (1) - The diagram must show the movement from capital goods to consumer goods e.g., by means of an arrow (1) - Accompanied by an explanation that this is a movement along the curve (rather than a shift). (1) AO2 Analysis (max 3 marks) Of how a government might allocate more resources to consumption and less to investment e.g.: - By reducing taxes on income / consumer expenditure. (1) - By increasing government expenditure to provide subsidies for consumers. (1) - By reducing government support to businesses for investment. (1) (Maximum of 2 marks overall) PLUS 1 mark if shown on a diagram as either a movement along the curve or shift within the curve that is clearly explained. AO3 Evaluation (max 2 marks) For a clear assessment of the limitations of this approach including an assessment of time lags, the possible response of businesses and consumers etc. Reserve 1 mark for a justified conclusion Please use a text box to show the mark split e.g., 3 2 1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
6	Assess whether consumers always benefit when the government of a mixed economy reduces the role of the market mechanism in allocating resources. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis The advantages of the market mechanism in a mixed economy might include: • Decisions are made by individual consumers and individual producers who act in their own self-interest. • Resources are allocated by a price mechanism without the need for very much government intervention. The disadvantages of the market mechanism in a mixed economy might include: • Some products will be underprovided and underconsumed, e.g. a merit good such as education, while some products will be overprovided and overconsumed, e.g. a demerit good such as tobacco. • Some products will not be provided, e.g. a public good such as police. The advantages of government intervention in a mixed economy might include: • Government intervention in the allocation of resources means it can take decisions in the national interest. • The government could create a more equitable distribution of income. The disadvantages of government intervention in a mixed economy might include: • Government control could lead to an inefficient allocation of resources. • Lack of competition/profit motive could lead to products of lower quality. Level 1 responses will be assertive and lacking in explanations/mainly descriptive and/or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one-sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies/concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question.	12

Question	Answer	Marks
6	AO3 Evaluation • Evaluation of relative balance of advantages and disadvantages of each. • In conclusion, consideration of whether consumers will always benefit when the government of a mixed economy reduces the role of the market mechanism in allocating resources. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
7	Assess whether a market economy is always the best economic system to effectively answer the three basic questions of resource allocation. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The advantages and disadvantages of the market system in deciding what to produce, how to produce and for whom to produce should focus on the price mechanism without any government involvement. • May include discussion of the profit motive, consumer sovereignty, consumer choice, overproduction of demerit goods, underproduction of merit goods, lack of public goods etc. • A comparison with another market system e.g., planned economy or mixed economy is needed to answer the question 'always the best'. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and may be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation • Requires an assessment of the strengths and weaknesses of at least one other type of economic system in answering the three basic questions of resource allocation. Leading to • A justified conclusion as to whether the market economy is always the best economic system. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
8	Assess whether the free market should be used to provide <u>all</u> types of goods in an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • How supply and demand functions to provide goods in a free market with reference to the distinction between private goods and public goods. • An explanation of the reasons for free market provision of private goods with reference to the distinction between merit and demerit goods. • An explanation of the reason for state provision of public goods. AO3 Evaluation • Public goods can only be provided by governments. • Merit goods will be underprovided in the free market and governments should intervene to increase provision. • Demerit goods will be overprovided by the free market and should be controlled in provision. • In conclusion, the free market should not be used to provide all types of goods in an economy. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
9	Assess whether the allocation of resources by the free market is always desirable for an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis An understanding of the term free market economy An explanation of the potential advantages of a free market economy – efficient allocation of scarce resources, competitive prices and increased choice for consumers, increased innovation and invention, increased investment (via the profit motive), reduction in monopoly power An explanation of the potential disadvantages of a free market economy – underprovision of merit goods/overproduction of demerit goods, absence of public goods, negative externalities, private sector monopolies, increased income and wealth inequalities An explanation of the advantages and disadvantages of an alternative system of resource allocation – command economy, mixed economy. Accept any economic system but the analysis must focus on how it allocates resources and discussed both the advantages and disadvantages of that system. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation Consideration that fully assesses the relative effectiveness of the free market approach to resource allocation compared with at least one alternative system and arrives at a reasoned conclusion concerning whether the free-market system is the 'best' approach. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the levels applied and mark split e.g., L3 6 L1 2 Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4